

Riding Wavelets: Reproducing “Riding Wavelets” on Open Data

Reproducible research (ML for Time Series)

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Why this project?

- We do not work in finance: curious on **very noisy** data and **non-trivial spectral analysis** with extreme events.
- We reproduced a hedge-fund preprint: **Bouchaud et al., “Riding Wavelets”** (jump classes via wavelets + Kernel PCA).
- Key motivation: **non-stationary markets** (volatility clustering, intraday patterns) so global templates (e.g., dictionary learning) fail.
- Goal: reproduce the full pipeline from the paper with **open data**, end-to-end, and test across **time scales** and **markets**.

Outline

Method > Data > Results

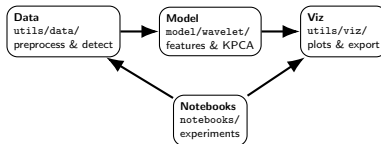
Reproducibility and code structure

Engineering (open + reproducible)

- Worked 50/30 hours, wrote 2k LOC, 30 notebooks, 73 commits, We open-source the code.
- We re-implement the full pipeline.

1-liner installation

```
chmod +x launch.sh && ./launch.sh
```



Code map (where things live)

- 5GB Stooq OHLC. 5-min, hourly, daily.
- Poland, Hungary, HK, US, UK Equities
- Removed 1st/last 60 minutes of each day to avoid market opening/closing high vol (30% daily activity last 5min).



Jump normalization (seasonality + local volatility)

- Markets highly non-stationary = standardize returns to jump score $x(t)$

$$x(t) = \frac{r(t)}{f(t)\sigma(t)}.$$

Seasonality f_t

$$r_t = \log p_t - \log p_{t-\Delta}, \quad \tau(t) = \text{time-of-day of } t,$$
$$m(\tau) = \text{median}\{|r_t| : \tau(t) = \tau\},$$

$$q = \sqrt{\frac{1}{|\mathcal{T}|} \sum_{\tau \in \mathcal{T}} m(\tau)^2},$$

$$f_t = \frac{m(\tau(t))}{q}, \quad r_t^{\text{des}} = \frac{r_t}{f_t}, \quad (\text{daily: } f_t \equiv 1).$$

Local volatility σ_t

$$\mu_t = \alpha r_t^{\text{des}} + (1 - \alpha)\mu_{t-1},$$

$$v_t = \alpha (r_t^{\text{des}} - \mu_t)^2 + (1 - \alpha)v_{t-1},$$

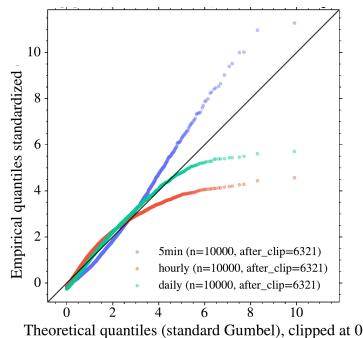
$$\sigma_t = \sqrt{v_t}, \quad \alpha = \frac{2}{s+1}.$$

Gumbel diagnostic

Hypothesis: Jump scores are approximately max-stable (Gumbel-like) after normalization; we threshold with $\theta = 4$ (5-min).

Plot: Q-Q of $|x(t)|$ vs Gumbel.

What we see: Overall good fit; mild 5-min Fréchet deviation.



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Wavelet features and interpretable directions

- We align jump signs ($t = 0$).
- We compute complex wavelet scattering.

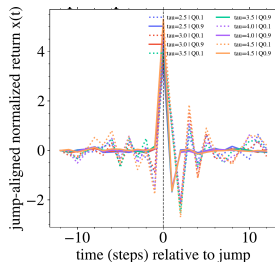
$$\Phi(x) = (W_j \bar{x}(0), W_{j_2} |W_{j_1} x|(0))_{1 \leq j \leq J, 1 \leq j_1 < j_2 \leq J}.$$

- We run Kernel PCA on feature vector $\Phi(x)$: $K(\Phi(x_i), \Phi(x_j))$.

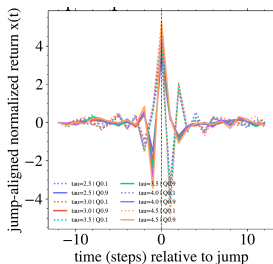
Research question 1: robustness to the threshold (5-min)

Hypothesis: Average jump profiles stay stable across θ .

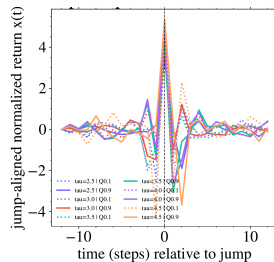
Plot: Overlay mean profiles across θ (5-min).



D_1 overlays



D_2 overlays



D_3 overlays

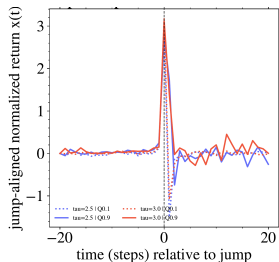
What we see: D_1 and D_3 stable; D_2 noisier at extremes.

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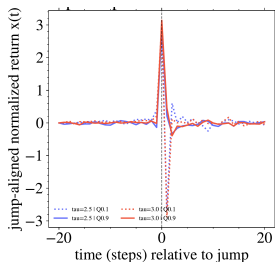
Research question 2 : daily frequency

Hypothesis: Asymetry/Mean-Revert/Trend structure

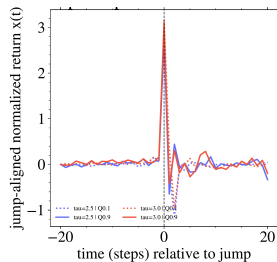
Plot: Overlay mean profiles across θ (daily).



D_1 (daily)



D_2 (daily)



D_3 (daily)

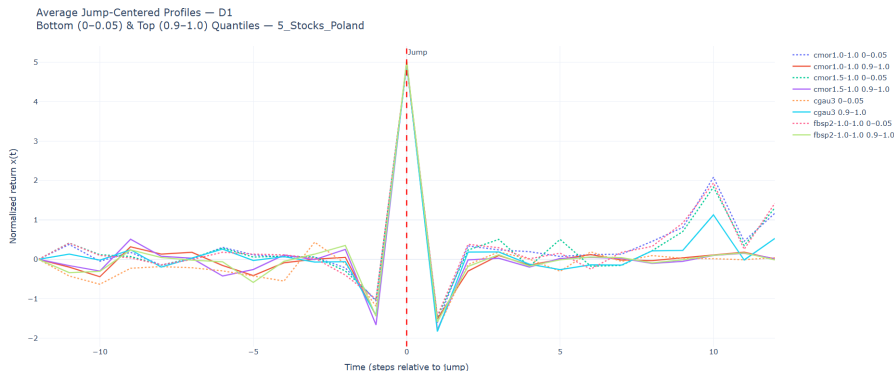
What we see: Asymetry, less daily data = higher noise.

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Research question 3: robustness (SS ablation + wavelets)

Hypothesis: Features are robust to (i) Scattering Spectra and (ii) wavelet choice.

Plot: Wavelet-family sweep for D_1 ; SS ablation runs (text).



What we see: With-SS vs no-SS: embeddings stay very similar; D_1 correlation stays high.

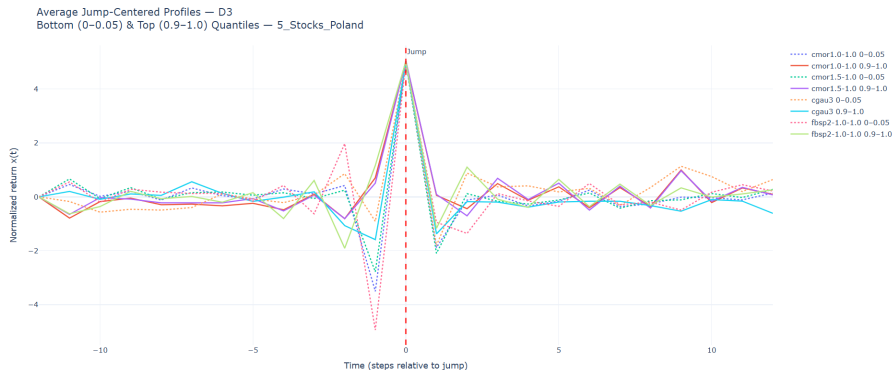
What we see: D_1 stays stable across wavelets (fbasp/cmor/cgau).

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Trend direction: D_3

Hypothesis: D_3 is a stable trend direction.

Plot: D_3 profiles across wavelets / markets.



What we see: D_3 is unstable on PL/HU; we need more data (US placeholder).

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RQ4: Asymmetry – daily vs 5-min

Hypothesis: Daily asymmetry correlates; 5-min does not. **Plot:** Correlation (daily vs 5-min).



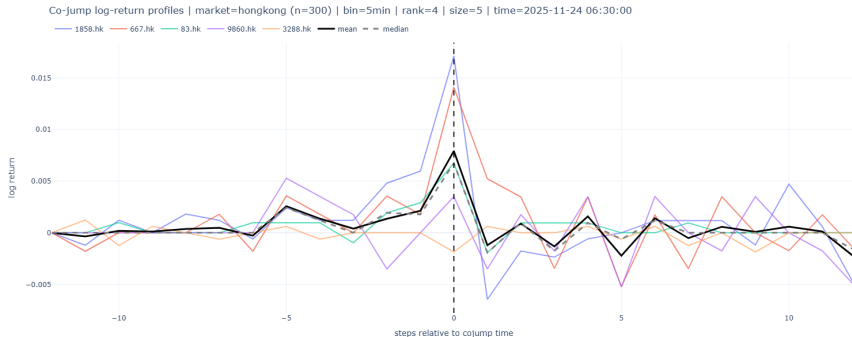
What we see: Daily: strong asymmetry (macro), 5-min: weak.

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Research question 5: 5-min cojumps looks the same

Hypothesis: 5-min Jumps are endogeneous = Symetric.

Plot: Example of 5-min co-jumps.



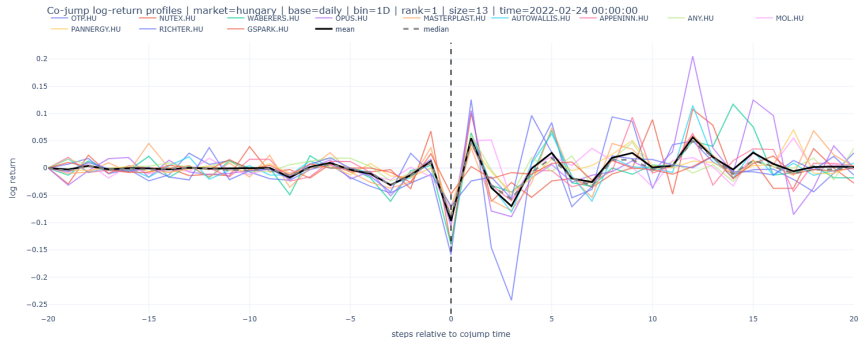
What we see: Very symmetric/reflexive jumps, no exogenous activity.

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Research question 5: Daily co-jumps looks different

Hypothesis: Daily co-jumps show low reflexivity.

Plot: Co-jump indicator from aggregated D_1 .



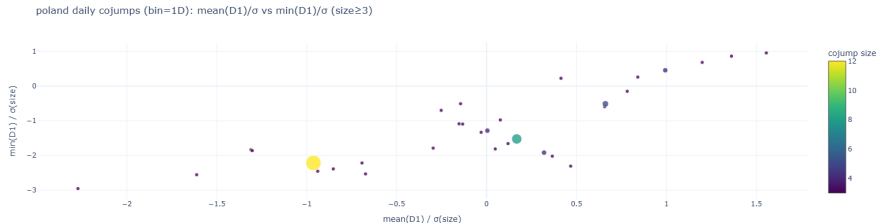
What we see: Reflexivity signal very low, exogenous activity

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Co-jumps + takeaways

Hypothesis: Large daily co-jumps looks the same.

Plot: Global Summary - Cojumps similarity index.



What we see: They share same D1 values = looks the same

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Takeaway

Full pipeline, open data, unsupervised robust jump classes (heavy tails, stable profiles across thresholds/wavelets/markets), co-jumps consistent.